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MAY/JUNE 2007

CARIBBEAN EXAMINATIONS COUNCIL

ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 1 – PAPER 02

$2\frac{1}{2}$ hours

31 MAY 2007 (a.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from EACH section.
4. Each question is worth a total of **25 marks.**
5. The overall total for Paper 02 is **75 marks.**

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SECTION A

MODULE 1: BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. The concept of globalization has been one of the most current topics of discussion in the Business World.

   (a) Define 'globalization'. **[3 marks]**

   (b) Discuss THREE positive and TWO negative impacts of globalization on Caribbean business organizations. **[22 marks]**

Total 25 marks

2. (a) Discuss TWO **main** contributions of small businesses to the development of your country's economy. **[6 marks]**

   (b) Discuss THREE challenges faced by small businesses in the Caribbean. **[9 marks]**

   (c) Identify THREE criteria used for measuring the size of a business and state ONE advantage and ONE disadvantage of EACH criterion. **[10 marks]**

Total 25 marks

SECTION B

MODULE 2: MANAGEMENT OF PEOPLE

Answer ONE question from this section.

3. (a) Using examples from organizations that you have studied, evaluate FOUR **major** methods of communication that exist between management and staff. **[17 marks]**

   (b) Suggest FOUR **major** causes of poor communication between management and staff. **[8 marks]**

Total 25 marks

4. In today's business organizations, Human Resource Management is broad and far reaching in scope. With reference to this statement, discuss FIVE main functions of the Human Resource Department. **[25 marks]**

Total 25 marks

SECTION C

MODULE 3: BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. A company is considering investing in one of three projects **A**, **B** or **C**. The initial cost and cash flows of each project are shown below. The company has the option of borrowing the amount to cover the cost of each project at 11% interest per annum.

Cash Flow	**Project A**	**Project B**	**Project C**
Initial Cost	**$40 000**	**$28 000**	**$30 400**
1	12 000	10 000	8 100
2	12 200	10 100	8 600
3	11 800	9 600	12 000
4	14 200	9 900	13 100
5	14 380	10 100	15 000

(a) Show the cumulative cash flow for EACH project. **[12 marks]**

(b) Compute the payback period in years, to one decimal place, for EACH project. **[6 marks]**

(c) Indicate which project the company should accept and why. **[2 marks]**

(d) Outline ONE advantage and ONE disadvantage of using the payback period as a project appraisal criterion. **[2 marks]**

(e) Assume the IRR [Internal Rates of Return] for the respective projects are as follows:

A 11.5%
B 8%
C 15%

Indicate which project the company should accept, giving ONE reason for your choice. **[3 marks]**

Total 25 marks

6. Kensington Creations markets a single product. The following facts relate to its inventory for the six-month period, January to June. At the beginning of January, the company had opening stock of 15 units @ $20 per unit. In February, the company bought 25 units @ $18 per unit, and in March, the company sold 18 units. In April, the company bought 10 units @ $22 per unit and in June it sold 16 units.

   (a) Construct a table which shows the value of the closing stock at the end of EACH month using the 'Last In First Out' method of accounting for stock. **[10 marks]**

   (b) Compute the Cost of Goods Sold EACH month, for the six-month period. **[5 marks]**

   (c) If the items are sold for $52 each, draw up a Trading Account for the six-month period ending June 30. **[10 marks]**

Total 25 marks

END OF TEST

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